When the interim Budget was presented on 1 February 2019, only the revised estimates of net tax revenues of financial year 2018–19 were available. However, when the regular Budget 2019–20 was presented in July, the actual/provisional tax receipts of 2018–19 had become available. As it turned out, net tax revenues of the Centre for 2019–20 came in much lower than the revised estimates projected at the time of the interim Budget.

As against projected revised estimates of Rs 14.84 lakh crore, provisional/actual net tax receipts for 2018–19 came to only Rs 13.17 lakh crore. Thus, there was a difference of Rs 1.67 lakh crore between the two numbers. Compared to the provisional/actual tax revenues of the Centre for 2018–19, estimated tax revenues for financial year 2019–20 were Rs 3.33 lakh crore higher (whereas in comparison to revised estimates, the increase projected in net tax revenues of 2019–10 was only half or Rs 1.66 lakh crore higher). Thus, there were two growth estimates. One, which projected tax revenue growth rate for 2019–20 over the provisional/actual tax revenues of 2018–19. This growth estimate was quite high at 25.26 per cent. The other estimate was estimated growth of tax revenues over the revised estimates of 2018–19, which was only 11.18 per cent higher. The two estimates generated a difference of Rs 1.67 lakh crore, which along with higher assumed underlying growth of 25.26 per cent stoked a controversy.

Both the interim Budget and regular Budget were presented for the year 2019–20. The constitutional requirement and budgetary convention is to present revised estimates only of the preceding year. Availability of provisional/actuals by the time of presentation of the regular Budget in July did not change that.